

Mark Scheme (Results)

Practice Paper (Hard Level)

Pearson Edexcel GCE

In Economics B (8EB0)

Paper 2: The Wider Economic Environment

General Marking Guidance

- All candidates must receive the same treatment. Examiners must mark the first candidate in exactly the same way as they mark the last.
- Mark schemes should be applied positively. Candidates must be rewarded for what they have shown they can do rather than penalised for omissions.
- Examiners should mark according to the mark scheme not according to their perception of where the grade boundaries may lie.
- There is no ceiling on achievement. All marks on the mark scheme should be used appropriately.
- All the marks on the mark scheme are designed to be awarded. Examiners should always award full marks if deserved, i.e. if the answer matches the mark scheme. Examiners should also be prepared to award zero marks if the candidate's response is not worthy of credit according to the mark scheme.
- Where some judgement is required, mark schemes will provide the principles by which marks will be awarded and exemplification may be limited.
- When examiners are in doubt regarding the application of the mark scheme to a candidate's response, the team leader must be consulted.
- Crossed out work should be marked UNLESS the candidate has replaced it with an alternative response.

Section A

Question Number	Mark
1(a)	(2)
Knowledge/understanding 2 A significant shift (1) in the composition or pattern of an industry or economy over time (1) <i>NB accept any other suitable alternative. Do not award marks for examples</i>	

Question Number	Mark
1(b)	(4)
Knowledge/understanding 1, Application 3 Knowledge/understanding: 1 mark for Formula for unemployment: Number of Unemployed × 100 (1) / Labour force Application: 34,278,000 - 32,801,000 (1) × 100 = 4.31% (1) / 34,278,000 (1) NB if no working is shown award marks as below: - If the answer given is 4.31% award 4 marks - If the answer given is 4.31 award 3 marks - If the answer given is 4.3% award 3 marks - If the answer given is 4.3 award 2 marks	

Question Number	Mark
1(c)	(4)
Knowledge/understanding 1, Application 3 Knowledge/understanding: 1 mark for formula for calculating real earnings e.g. nominal earnings - rate of inflation (1) Application: 6.45% (1) - 4.62% (1) = 1.83% (1) NB if no working is shown award marks as below: • If the answer given is 1.83% award 4 marks • If the answer given is 1.83 award 3 marks • If the answer given is 1.8% award 3 marks • If the answer given is 1.8 award 2 marks	

Question Number	Indicative content	Mark
1(d)	Knowledge 2, Application 2, Analysis 2, Evaluation 2	(8)
• Electric vehicles (EVs) are vehicles powered by electricity rather than petrol or diesel engines. • Consumers may benefit from lower running costs as electricity is typically cheaper per mile than petrol, and EVs have fewer moving parts so maintenance costs are lower. • EV owners can also benefit from government incentives such as exemption from road tax, congestion charges and lower company car tax rates. • Improved air quality in urban areas may benefit consumers' health, particularly those living in cities where vehicle emissions are a significant source of pollution. • Consumers benefit from technological innovation such as advanced driver-assistance systems, over-the-air software updates and connected car features. • Cleaner energy use may give consumers ethical satisfaction from reducing their carbon footprint. • However, the upfront cost of an EV (£45,000 on average) is significantly higher than for a petrol equivalent (£29,000), making them less accessible to lower-income consumers. • Charging infrastructure in the UK is still developing, which can cause range anxiety and inconvenience, particularly for consumers without off-street parking. • Battery technology is still improving, and consumers buying early models may find their EVs depreciate faster as newer, better technology becomes available.		

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6-8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Demonstrating application (AO2) in responses

Where questions specifically stipulate the use of data or information provided in a stimulus, students:

- must directly reference, interpret or analyse the information provided in the stimulus

- in addition, may select examples from their own knowledge but these must be relevant and directly connected to the context/issues set out in the stimulus.

Where questions do not specifically stipulate the use of data or information provided in a stimulus, students:

- must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question, and
- may directly reference, interpret or analyse the information provided in any relevant stimulus.

Question Number	Indicative content	Mark
1(e)	Knowledge 2, Application 2, Analysis 4, Evaluation 4	(12)
	• Structural change is a significant shift in the composition or pattern of production within an economy or industry. • The shift to EVs requires UK car manufacturers to fundamentally restructure their production lines, supply chains and skills bases. • Manufacturers such as Jaguar Land Rover have committed billions of pounds to new EV production lines - this represents significant capital expenditure that increases short-term costs. • Production costs are higher for EVs because lithium-ion batteries can account for up to 40% of total EV production cost, and battery supply chains remain volatile. • Manufacturers face challenges in recruiting and retraining workers - existing skills in petrol/diesel engines are not directly transferable, and EU workforce shortages add further pressure. • Demand for EVs from UK consumers has been cautious, partly due to high prices and weak real disposable income, which slows revenue growth and delays return on investment. • Manufacturers may need to write off existing investments in petrol and diesel production, generating significant short-term losses. • However, the structural change also creates opportunities. Manufacturers that move quickly may secure market share and benefit from first-mover advantages. • Government policy (e.g. the 2035 zero-emission mandate) creates certainty about long-term demand for EVs, supporting investment decisions. • Manufacturers may benefit from economies of scale once EV production volumes rise, reducing average costs over time. • The impact will depend on the size, financial strength and adaptability of the manufacturer - large global firms may absorb costs more easily than smaller, UK-only firms. • Trade arrangements, including post-Brexit trade rules and emerging EV trade agreements, will also affect competitiveness. • The overall impact depends on whether UK manufacturers can match the pace of innovation set by international competitors (e.g. Tesla, BYD) and whether consumer demand for EVs accelerates.	

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Level 1	1-2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6-9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10-12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

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Section B

Question Number	Mark
2(a)	(2)
Knowledge/understanding 2 A market with a large number of consumers (1) where products are sold to a broad customer base (1) <i>NB accept any other suitable alternative. Do not award marks for examples</i>	

Question Number	Mark
2(b)	(4)
Knowledge/understanding 1, Application 3 Knowledge/understanding: 1 mark for formula for PED e.g. % change in Quantity Demanded / % change in Price (1) Application: +9% (1) / -12% (1) = -0.75 (1) NB if no working is shown award marks as below: - If the answer given is -0.75 award 4 marks - If the answer given is -0.8 award 3 marks	

Question Number	Mark
2(c)	(4)
Knowledge/understanding 1, Application 2, Analysis 1 Knowledge/understanding: 1 mark for identifying a benefit e.g. diversified revenue streams (1) Application: up to 2 marks are available for contextualised answers, e.g. Octopus has invested over £1 billion in Kraken (1); the Kraken platform is licensed to other energy suppliers worldwide (1) Analysis: 1 mark available for developing the benefit, e.g. by licensing Kraken to other energy suppliers, Octopus generates additional revenue that is not directly dependent on UK retail energy customers, reducing reliance on a single market and supporting long-term financial stability (1)	

Question Number	Indicative content	Mark
2(d)	Knowledge 2, Application 2, Analysis 2, Evaluation 2	(8)
- Over-utilisation of capacity occurs when a firm operates at a level above its sustainable normal capacity. - Octopus has been operating its customer service operations above normal capacity following the acquisition of 1.5 million Bulb customers in 2022. - Call waiting times have risen sharply during peak periods, damaging customer satisfaction and reputation. - Employees may experience higher stress and longer shifts, leading to increased absenteeism, lower productivity and higher staff turnover. - Customer service quality may decline, which is particularly damaging given that Octopus has built its reputation on strong customer service. - Over time, declining service quality could lead to customer churn, which is costly given the high marketing and acquisition costs of replacing customers. - Operational mistakes and complaints may attract regulatory attention from Ofgem, generating reputational risks and potential fines. - However, the over-utilisation may be a short-term issue - Octopus is recruiting 800 additional customer service staff to address the problem. - Strong demand reflected in over-utilisation can signal to investors that the company is growing rapidly and is well-positioned for long-term success. - The implications depend on how quickly Octopus can scale up operations, train new staff and integrate Bulb's former systems.		

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Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are developed. Judgements may be attempted.
Level 3	6-8	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen. Arguments are developed, using logical, coherent chains of reasoning. A balanced awareness of competing arguments.

Demonstrating application (AO2) in responses

Where questions specifically stipulate the use of data or information provided in a stimulus, students:

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Question Number	Indicative content	Mark
2(e)	Knowledge 2, Application 2, Analysis 4, Evaluation 4	(12)
• Penetration pricing is when a firm sets a low introductory price for a new product or service to encourage consumers to try it and build market share. • Octopus is launching its heat pump installation service at £2,500 compared with a market price of approximately £7,000, a discount of around 64%. • The strategy aims to make heat pumps accessible to a much wider range of customers and to establish Octopus as the leading installer in the UK market. • If successful, Octopus could secure a dominant position in a fast-growing market driven by the UK's net-zero commitments and government subsidies. • Higher installation volumes will help Octopus achieve economies of scale in supply chain management, installer training and customer acquisition. • Heat pump customers may also become long-term customers of Octopus's electricity tariffs, creating cross-selling opportunities. • However, the very low introductory price may lead consumers to view heat pumps as a low-quality product, damaging the long-term market. • Competing installers (e.g. British Gas, OVO) may respond by cutting their own prices, sparking a price war that reduces profitability across the sector. • Penetration pricing requires Octopus to absorb significant short-term costs - the gap between £2,500 and the true installation cost must be funded internally or through government subsidies. • Octopus is heavily reliant on the Boiler Upgrade Scheme subsidy; any change in government policy could undermine the strategy. • Capacity may be a constraint - Octopus must train sufficient installers to meet rapidly rising demand, and quality may suffer if expansion is too fast. • The success of the strategy depends on whether heat pumps deliver promised energy and cost savings, generating positive word-of-mouth and building Octopus's reputation as a leader in the energy transition.		

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	0	A completely inaccurate response.
Level 1	1-2	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted. Limited attempt to address the question.
Level 2	3-5	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented but with limited attempt to address the question. Comparisons and judgements may be attempted.
Level 3	6-9	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, clear chains of reasoning, with well developed arguments. An awareness of the significance of competing arguments is present although this may lack balance.
Level 4	10-12	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen, logical, coherent chains of reasoning, showing full understanding of the question. Arguments are developed and evaluated. A full and balanced awareness of the validity and significance of competing arguments.

Demonstrating application (AO2) in responses

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Where questions do not specifically stipulate the use of data or information provided in a stimulus, students:

- must select relevant examples from their own knowledge, these must be directly connected to the context/issues set out in the question, and
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Section C

Question Number	Indicative content	Mark
3	Knowledge 4, Application 4, Analysis 6, Evaluation 6	(20)

- Economic development is the sustained increase in the standard of living, including improvements in health, education and income, in an economy over time.
- Environmental protection refers to policies and practices designed to preserve natural ecosystems, reduce pollution and limit climate change.
- Many emerging economies, including India, face a clear trade-off - rapid growth is needed to lift millions out of poverty, but growth has historically been associated with rising emissions and environmental degradation.
- India's coal-fired electricity generation has contributed significantly to severe air pollution in cities such as New Delhi, where pollution exceeds WHO guidelines by more than ten times.
- Negative externalities of production - such as respiratory illness, contaminated water and damaged ecosystems - impose large social costs that are not reflected in market prices.
- The World Bank estimates that environmental degradation costs India around 5.7% of GDP per year, suggesting that pollution itself reduces long-term growth potential.
- Air pollution causes approximately 7 million premature deaths globally each year, a significant human cost of pollution-intensive development.
- However, the Environmental Kuznets Curve suggests that pollution may rise during early stages of development but eventually fall as countries become richer and can afford cleaner technologies.
- Economic development can generate the resources needed to invest in renewable energy, environmental regulation and cleaner technology - India has committed to installing 500 GW of renewable energy by 2030.
- Emerging economies also argue that they should not be expected to forgo the same development path that developed countries previously pursued using fossil fuels.
- Government intervention through environmental taxes, regulations and subsidies for clean technology can reduce externalities while allowing growth to continue, weakening the trade-off.
- Technology transfer from developed countries and climate finance can help emerging economies invest in clean technologies without sacrificing growth.
- International cooperation through agreements such as the Paris Agreement can support transitions to cleaner growth pathways.
- However, emerging economies face significant constraints - they have limited fiscal capacity, weaker regulatory institutions and competing political pressures to maintain rapid growth.
- The trade-off is more severe in the short term, but the long-term picture may be more positive if green growth strategies succeed.
- The extent of the trade-off depends on policy choices, access to clean technology and the willingness of developed economies to support emerging economies through finance and technology.
- Ultimately, climate change itself is a major threat to economic development in emerging economies (e.g. extreme weather, sea-level rise), so environmental protection may be necessary to safeguard long-term growth.

Level	Mark	Descriptor
	0	A completely inaccurate response.
Level 1	1-4	Isolated elements of knowledge and understanding, using little or no relevant evidence. Arguments and chains of reasoning may be attempted, but fail to connect causes and consequences. Limited attempt to address the question.
Level 2	5-9	Elements of knowledge and understanding, using limited relevant evidence. Arguments and chains of reasoning are presented, but connections between causes and consequences are incomplete. Limited attempt to address the question. Comparisons, judgements or conclusions may be attempted, but are unsupported or generic.
Level 3	10-15	Accurate knowledge and understanding, supported by use of relevant evidence to support the argument, developed chains of reasoning, showing understanding of connections between causes and consequences. Arguments are well developed and partially evaluated. An awareness of the significance of competing arguments is present although this may lack balance. A conclusion may be attempted but may not show awareness of the significance of competing arguments.
Level 4	16-20	Accurate knowledge and understanding, supported throughout by use of relevant evidence which is well chosen and fully integrated to support the argument, well developed and logical, coherent chains of reasoning, showing full understanding of the question. Arguments are fully developed and evaluated. A full awareness of the validity and significance of competing arguments, leading to nuanced and balanced comparisons, judgements or conclusions.

Demonstrating application (AO2) in responses

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